316 PROPOSITION

HOUSE CONCURRENT RESOLUTION 2021

A CONCURRENT RESOLUTION

ENACTING AND ORDERING THE SUBMISSION TO THE PEOPLE OF A MEASURE RELATING TO MUNICIPAL TRANSACTION PRIVILEGE TAX.

Be it resolved by the House of Representatives of the State of Arizona, the Senate concurring:

1. Under the power of the referendum, as vested in the Legislature, the following measure, relating to municipal transaction privilege tax, is enacted to become valid as a law if approved by the voters and on proclamation of the Governor:

AN ACT

AMENDING SECTION 42-6015, ARIZONA REVISED STATUTES; RELATING TO MUNICIPAL TRANSACTION PRIVILEGE TAX.

Be it enacted by the Legislature of the State of Arizona:

Section 1. Section 42-6015, Arizona Revised Statutes, is amended to read:

42-6015. Municipal transaction privilege tax; food; exemption

A. If a city, town or other taxing jurisdiction imposes a transaction privilege, sales, use, franchise or other similar tax or fee, however denominated, on:

1. SUBJECT TO SUBSECTION C OF THIS SECTION, the sale of food items intended for human consumption as defined by rule adopted pursuant to section 42-5106 or items prescribed by section 42-5106, subsection D for home consumption, the tax must be applied uniformly with respect to all food, and an additional tax or fee differential may not be assessed or applied with respect to any specific food item.

2. The sale of food items intended for human consumption as defined by rule adopted pursuant to section 42-5106 or items prescribed by section 42-5106, subsection D for consumption on the premises, the tax must be applied uniformly with respect to all food items, and an additional tax or fee differential may not be assessed or applied with respect to any specific food item.

B. A city, town or other taxing jurisdiction may not levy a transaction privilege, sales, use, franchise or other similar tax or fee, however denominated, with respect to:

1. FROM AND AFTER JUNE 30, 2027, THE SALE OF FOOD ITEMS INTENDED FOR HUMAN CONSUMPTION AS DEFINED BY RULE ADOPTED PURSUANT TO SECTION 42-5106 OR ITEMS PRESCRIBED BY SECTION 42-5106, SUBSECTION D FOR HOME CONSUMPTION UNLESS THE CITY, TOWN OR OTHER TAXING JURISDICTION COMPLIES WITH THE REQUIREMENTS PRESCRIBED IN SUBSECTION C OF THIS SECTION.

~~1.~~ 2. The manufacture, wholesale or distribution to or among any wholesalers, distributors or retailers, of food items intended for human consumption as defined by rule adopted pursuant to section 42-5106 or items prescribed by section 42-5106, subsection D for home consumption or for consumption on the premises.

~~2.~~ 3. Any container or packaging used exclusively for transporting, protecting or consuming food items intended for human consumption as defined by rule adopted pursuant to section 42-5106 or items prescribed by section 42-5106, subsection D for home consumption or for consumption on the premises.

~~3.~~ 4. The sale of food or other items purchased with United States department of agriculture food stamp coupons issued under the food stamp act of 1977 (P.L. 95-113; 91 Stat. 958) or food instruments issued under section 17 of the child nutrition act (P.L. 95-627; 92 Stat. 3603; P.L. 99-661, section 4302; 42 United States Code section 1786) but may impose such a tax consistent with this section on other sales of food.

~~4.~~ 5. The sale of low or reduced-cost articles of food or drink to eligible elderly or homeless persons or persons with a disability by a business subject to tax under the restaurant classification pursuant to section 42-5074 that contracts with the department of economic security and that is approved by the food and nutrition service of the United States department of agriculture pursuant to the supplemental nutrition assistance program established by the food and nutrition act of 2008 (7 United States Code sections 2011 through 2036c), if the purchases are made with the benefits issued pursuant to the supplemental nutrition assistance program.

C. TO IMPOSE A TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, PURSUANT TO SUBSECTION A, PARAGRAPH 1 OF THIS

SECTION, A CITY, TOWN OR OTHER TAXING JURISDICTION:

1. FOR A CITY, TOWN OR OTHER TAXING JURISDICTION THAT HAS APPROVED THE IMPOSITION OF A TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, PURSUANT TO SUBSECTION A, PARAGRAPH 1 OF THIS SECTION ON OR BEFORE JANUARY 1, 2025, ALL OF THE FOLLOWING APPLY:

(a) FOR A CITY, TOWN OR OTHER TAXING JURISDICTION THAT IMPOSES A TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, AT A RATE THAT IS LESS THAN TWO PERCENT OF THE BASE, ANY INCREASE OF THE TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, MUST BE APPROVED BY THE VOTERS OF THE CITY, TOWN OR OTHER TAXING JURISDICTION AND MAY NOT BE MORE THAN TWO PERCENT OF THE TAX BASE.

(b) FOR A CITY, TOWN OR OTHER TAXING JURISDICTION THAT IMPOSES A TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, AT A RATE THAT IS TWO PERCENT OR MORE OF THE BASE, THE CITY, TOWN OR OTHER TAXING JURISDICTION MAY NOT INCREASE THE RATE.

(c) AN INCREASE OF THE TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, MUST NOT OCCUR IN THE TWENTY-FOUR-MONTH PERIOD PRECEDING JUNE 30, 2027.

2. FOR A CITY, TOWN OR OTHER TAXING JURISDICTION THAT HAS NOT APPROVED THE IMPOSITION OF A TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, PURSUANT TO SUBSECTION A, PARAGRAPH 1 OF THIS SECTION ON OR BEFORE JANUARY 1, 2025, BOTH OF THE FOLLOWING APPLY:

(a) THE ADOPTION AND ANY SUBSEQUENT INCREASE OF THE TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, MUST BE APPROVED BY THE VOTERS OF THE CITY, TOWN OR OTHER TAXING JURISDICTION AND MAY NOT BE MORE THAN TWO PERCENT OF THE TAX BASE.

(b) THE ADOPTION OR SUBSEQUENT INCREASE OF THE TRANSACTION PRIVILEGE, SALES, USE, FRANCHISE OR OTHER SIMILAR TAX OR FEE, HOWEVER DENOMINATED, MUST NOT OCCUR IN THE TWENTY-FOUR-MONTH PERIOD PRECEDING JUNE 30, 2027.

Sec. 2. Retroactivity

This act applies retroactively to from and after December 31, 2024.

2. The Secretary of State shall submit this proposition to the voters at the next general election as provided by article IV, part 1, section 1, Constitution of Arizona.

ANALYSIS BY LEGISLATIVE COUNCIL

Proposition 316 would limit the ability of a city, town or other taxing jurisdiction to impose a transaction privilege, sales, use, franchise or other similar tax or fee on food and certain nonalcoholic beverages (ready-to-drink and in a closed container) that are intended for home consumption as follows:

1. For a city, town or other taxing jurisdiction that approved the imposition of such a tax or fee on or before January 1, 2025, any increase in the rate of the tax or fee must be approved by the voters and may not be more than two percent of the tax base. However, if the rate of the tax or fee imposed on or before January 1, 2025 is two percent or more of the tax base, the city, town or other taxing jurisdiction may not increase the rate. Additionally, increases in the rate of the tax or fee may not occur between June 30, 2025 and June 30, 2027.

2. For a city, town or other taxing jurisdiction that has not approved the imposition of such a tax or fee on or before January 1, 2025, the adoption of a new tax or fee and any subsequent increase to the rate of the tax or fee must be approved by the voters and may not be more than two percent of the tax base. Additionally, the adoption of a new tax or fee and any subsequent increase to the rate of the tax or fee may not occur between June 30, 2025 and June 30, 2027.

Notice: Pursuant to proposition 105 (1998), these measures cannot be changed in the future if approved on the ballot except by a three-fourths vote of the members of each house of the legislature and if the change furthers the purpose of the original ballot measure, by an initiative petition or by referring the change to the ballot.

ARGUMENTS "FOR" PROPOSITION 316

Vote YES on Proposition 316 – Municipal Transaction Privilege Tax

All municipalities in Arizona generate revenue to support local projects and programs through some form of transaction privilege tax (TPT), commonly referred to as a "sales tax." In most cities in Arizona, this includes a tax that is collected from businesses that sell food for home consumption. For many communities, this "food tax" is an essential source of revenue that supports critical services.

Prop 316 offers a balanced approach to managing the food tax going forward. Cities and towns would retain their existing resources, so city services are not negatively impacted. Also, with the passage of Prop 316, a city will need voter approval from local voters if they ever want to raise the food tax, subject to a maximum cap. Cities above the cap would only be allowed to lower their food tax.

Prop 316 strikes a meaningful compromise between household affordability for residents, capturing funding from tourists and visitors who utilize public infrastructure and public services, and maintaining budget stability for cities and towns. Support for Prop 316 means support for the fiscal health of Arizona's cities and towns and the quality of life of their residents. It ensures that authority over the food tax remains firmly in the hands of the people of Arizona.

Please vote YES on Proposition 316.

Sincerely,
Kevin Hartke
Mayor, City of Chandler
President, The League of Arizona Cities and Towns

René Guillen
Executive Director, The League of Arizona Cities and Towns

Kevin Hartke, Mayor, City of Chandler, Chandler and Rene Guillen, Jr., Executive Director, League of Arizona Cities and Towns
Sponsored by Rene Guillen

ARGUMENTS "AGAINST" PROPOSITION 316

Disguised as tax relief, Prop 316 was designed by the legislature to handcuff cities and towns by restricting the revenue they need to function. Gov. Katie Hobbs vetoed a similar bill in 2023 that would have cost 65 Arizona cities over $150 million a year, blowing holes in local budgets and forcing them to slash services and raise property taxes.
When state legislators cut taxes to the bone, counties and cities have to make up the difference in order to fund essential services like firefighters, police, libraries, parks, street maintenance, and the hundreds of unnoticed benefits that make daily life possible. Mayors who have spoken up against Prop 316 say the loss of revenue it will cause will devastate their communities. For example, food tax revenue makes up more than 30% of the budget in the small town of Taylor. City officials have said a 3% food tax is a lot more equitable than adding a new property tax and concentrating that tax on homeowners.
Taxes are the price we pay for civilization. They fund the benefits and necessities our cities and towns use to function. A 6-cent surcharge on a $3 gallon of milk is a small price to pay for this. The legislature should work on putting its own house in order, and let cities and towns manage theirs. We strongly urge a NO vote.

Melinda Iyer, Co-Director, Civic Engagement Beyond Voting, Phoenix and Catherine Sigmon, Co-Director, Civic Engagement Beyond Voting, Tempe
Sponsored by Civic Engagement Beyond Voting

Prop 316 would put a cap on your city's ability to tax food meant for home consumption. While it is being presented as tax relief, it has been designed to strip local control ("Home Rule") by increasing the Legislature's power over your municipality.

When the Legislature reduces your city's revenue, there are still many essential services and everyday needs to be funded—first responders, libraries, parks, senior services, recreation centers and street maintenance. Where would those funds come from? Slashing local budgets forces cuts in services and increases property taxes.

Smaller or rural Arizona communities often rely heavily on grocery sales taxes as their primary source of municipal income. For these towns, capping this revenue could be financially devastating.

By requiring a mandatory public vote for any minor increase to a local food tax, Prop 316 imposes an additional administrative hurdle—running local ballot measures for routine municipal budget adjustments. That's an inefficient and expensive use of taxpayer resources.

The state should show respect for our cities and towns. We are very capable of managing our own finances.

We OPPOSE Prop 316

Gayle Shanks and Bob Sommer
Changing Hands Bookstore Co-Founders

Gayle Shanks, Tempe and Clive Sommer, Tempe
Sponsored by Gayle Shanks

HCR 2021 – This is a forced cap on city-imposed grocery taxes. This legislation is a significant overreach by the state legislature and shows you just how far they will go to keep any other legislative body from determining their own fate. Localities are dependent on those types of taxes. By limiting their tax base, it would have significant repercussions on their local services and support. It isn't up to the state legislature to determine a city's budget. Additionally, pushing this onto the November ballot gives us a two-page four-sided ballot. Gee thanks Jake! Vote No on Proposition HCR 2021.

Timothy Everhard, Director, Arizonans for Freedom, Peoria

Spelling, grammar and punctuation were reproduced as submitted in the "for" and "against" arguments.

BALLOT FORMAT

PROPOSITION 316

REFERRED TO THE PEOPLE BY THE LEGISLATURE RELATING TO MUNICIPAL TRANSACTION PRIVILEGE TAX

OFFICIAL TITLE
AMENDING TITLE 42, CHAPTER 6, ARTICLE 1, SECTION 42-6015, ARIZONA REVISED STATUTES.

DESCRIPTIVE TITLE
RETROACTIVELY PROHIBITS LOCAL GOVERNMENTS FROM ADOPTING OR INCREASING A TAX ON GROCERIES WITHOUT VOTER APPROVAL AND SETS A MAXIMUM RATE OF 2%.

A "yes" vote shall have the effect of: (1) retroactively prohibiting local governments from adopting or increasing a tax on groceries from July 1, 2025, through June 30, 2027; and (2) after that time, prohibiting local governments from adopting or increasing a tax on groceries without voter approval and limiting any new or increased tax to a maximum rate of 2%.	**YES** ☐
A "no" vote shall have the effect of maintaining the current laws relating to local government taxation.	**NO** ☐